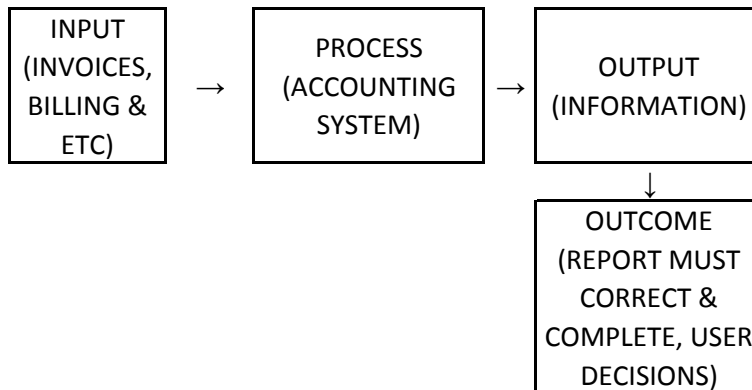


REPORT FOR TRAINING FULL SET ACCOUNTS & ACCOUNTS CLOSING 2018

1) ACCOUNTING ~ AN INFORMATION PROCESS

A) Who need the accounting information.

B) Separate by 4 flow :



C) Have 2 user required accounting reports:

C.1) Financial Accounting (External users)

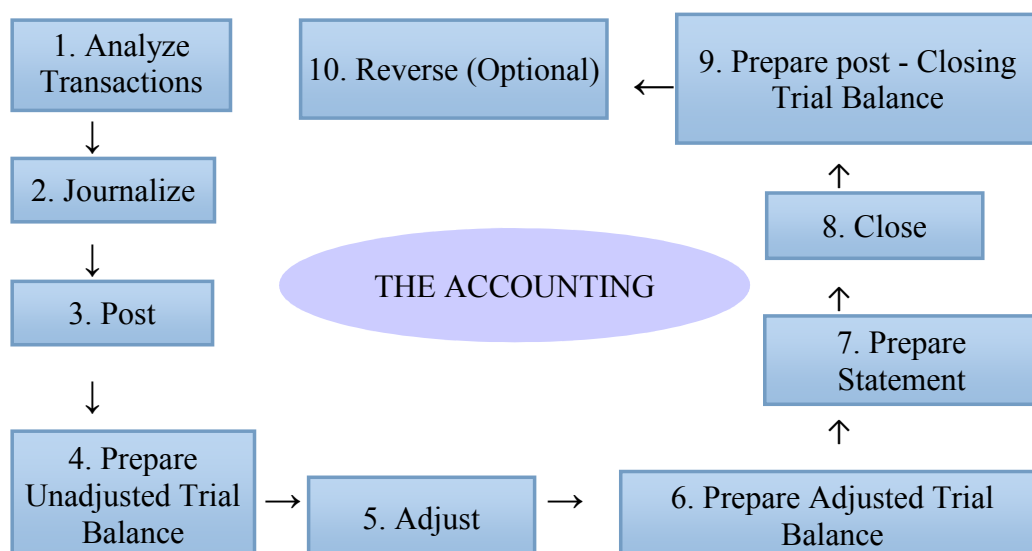
- ~ Investors
- ~ Creditors
- ~ Regulators
- ~ Consumers
- ~ Competitors

C.2) Managerial Accounting (Internal users)

- ~ Managers

D) Information of accounting is to help users make better decisions in future.

E) The accounting cycle :

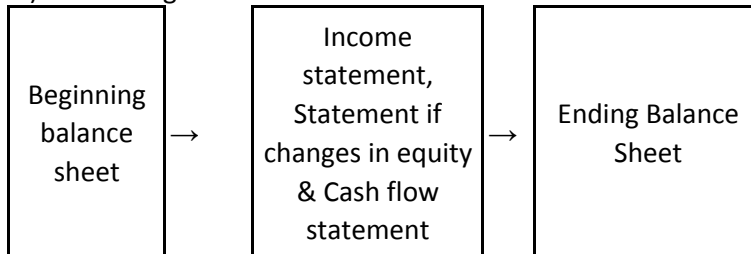


2) FINANCIAL STATEMENTS AN OVERVIEW

A) Financial Statements Components

- ~ Balance Sheet [Measurement of FP in BS: Assets, Liabilities & Equity]
- ~ Statement of changes in Equity
- ~ Income Statement [Measurement of FP in P&L: Income & Expenses]
- ~ Cash Flow Statement + Notes to the Accounts

B) Previewing Financial Statements



3) ACCOUNTING CONCEPTS & PRINCIPLES

A) Concepts & Principles

- ~ Accurate
- ~ Material
- ~ Relevant
- ~ Reliable
- ~ Comparable
- ~ Clear & Understandable
- ~ Going Concern
- ~ Entity Concepts
- ~ Realisation Concepts
- ~ Accruals Concepts
- ~ Prudence Concepts
- ~ Materiality Conventions
- ~ Consistency Convention

B) Qualitative characteristics of information in financial statements

- ~ Understandability
- ~ Relevance
- ~ Materiality
- ~ Reliability
- ~ Substance over form
- ~ Prudence
- ~ Completeness
- ~ Comparability
- ~ Timeliness
- ~ Balance between benefit & cost

4) ACCOUNTING ENTRIES & DOUBLE ENTRY BOOK KEEPING

- ~ Data (raw facts) versus Information(summary report required by managers)
- ~ Source documents (cheques, purchase orders, bank statements, sales invoices & etc)
- ~ Bookkeeping (recording, classification & organising)

A) Double entry bookkeeping

~ All transactions have a twofold effect

~ Debit entry & credit entry must equal

~ System works on the principles that whenever value is given, value must also be received

5) FIVE STAGE IN THE PROCESS

~ Stage 1 - Original (prime) documents

~ Stage 2 - Book of prime entry: day books or journals

~ Stage 3 - Ledger accounts: All financial transactions are recorded
by making double entries in the ledger

~ Stage 4 - Trial balance: drawn up to check the accuracy of the ledger entries

~ Stage 5 - Final accounts: P&L account, Balance sheet